

Research Briefing | Eurozone

Strong EU loan uptake benefits ECB and Italian bonds

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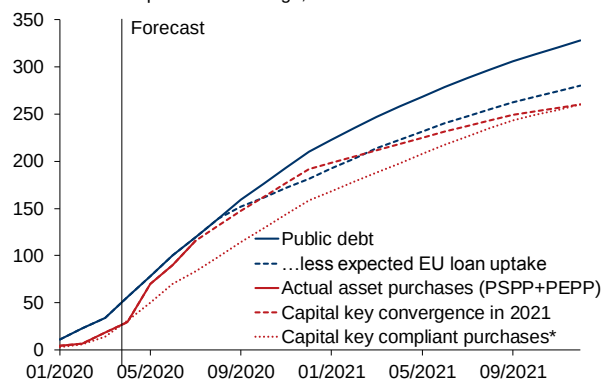
- The EU's response to the coronavirus crisis is important not just from a fiscal standpoint. It also has significant implications for monetary policy. Strong use of up to €700bn of concessionary EU loans would lower weak sovereigns' interest burden, while also facilitating the convergence of the ECB's asset purchases towards the capital key, reducing the risk of future legal challenges.
- For Italy, loan tranches from the EU unemployment support program (SURE) and recovery fund may lower bond issuance in 2020 and 2021 by an eighth. This should allow the ECB to cut Italian bond purchases, while still capping the rise in free-float, keeping financing conditions loose. Absent new political drama in Rome, Italian government bonds (BTPs) should remain well-supported.
- This strengthens our case that the ECB council will need to increase the asset purchase envelope under the PEPP by only €200bn, the low end of market expectations. But the euro's recent strong rise and downside risk to the core inflation outlook could still convince the ECB to opt for a larger increase.

The EU's €750bn recovery fund materially improved the region's fiscal policy response to the pandemic. Much of our attention was initially on the €390bn of grants offered foremost to weak sovereigns, which [we estimate](#) will significantly boost their recovery. The up to €700bn of cheap loans on offer through several EU schemes were less in focus (loan-tranche of EU recovery fund €360bn, ESM credit line €240bn, SURE €100bn). This was because we assume that most of the loans are likely to replace national bond issuance rather than trigger additional fiscal stimulus. Still, there are two major benefits from a strong use of these loans. First, countries would benefit from large interest savings due to the loans' low rates. Second, much-reduced national bond issuance would help the ECB's policy response, which we will discuss here, particularly regarding Italy.

Figure 1: Strong uptake of EU loans by Italy would allow ECB to reduce its purchases of Italian bonds in 2021

Italy: Public debt & ECB QE

Cumulative net purchases/change, bn EUR



Source: Oxford Economics/Haver Analytics (*PEPP assumed to be raised to €1550bn with public sector assets making up 80%)

The ECB's asset purchases have substantially deviated from the capital key this year to prop up financial conditions across the eurozone, with Italy by far the largest beneficiary. EU loans replacing a chunk of national bond issuance would allow the ECB to gradually re-converge its asset purchases to the capital key by end-2021.

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ECB QE and EU loans to soak up Italian deficit

Italy will have access to EU loans worth up to €155bn (9% of 2019 GDP) over coming years. The EU Commission already [agreed](#) to give Italy €27bn loans under the SURE program to finance its furlough scheme. We also think Italy will use most of the offered loan tranche from the EU recovery fund, reportedly worth up to €127bn. And Rome could ask for ESM loans of up to €36bn. But for now, and given relatively low government bond yields, we don't see this happening. The loans' perceived stigma may be softening, but taking them may be too much of a U-turn for national politicians.

In total, these loans would cover a sizeable chunk of Italy's huge deficit. With Italy one of the [hardest hit countries by the pandemic](#), we expect the recession to drag GDP down by 9% this year and the fiscal deficit to jump to 13% of GDP followed by 6.5% in 2021. Assuming that the loans replace national bond issuance, the SURE loan will be disbursed in 2020 and 15% of the recovery fund loans flow in 2021, EU loans would cover an eighth of the 2020-2021 deficit.

Of course, Italy has also been one of the main beneficiaries of the ECB's policy response. To cap Italian bond spreads the ECB allocated well over 20% of its public sector asset purchases to Italian bonds, well above the country's 17% capital key ([Figure 2, 3](#)). The capital key is the share that each national central bank owns of the ECB and based on the size of a country's economy and its population. They are usually the main determinant in allocating asset purchases across countries, in order to guarantee market neutrality.

However, a worrisome point is that financing conditions for Italy could erode significantly when the ECB trims purchases of Italian bonds. But we think important factors reduce that risk. First, ECB actions have greatly calmed down financial markets and there are no signs of premature policy exit. Growing indications of a strong initial rebound in activity and the agreement on the EU recovery fund also helped keep [debt sustainability risks](#) lower than feared back in March.

Second, even if the ECB began reverting this year's excess purchases of Italian bonds in 2021 by lowering their share to about 12% (5ppts below the capital key-implied levels), that would still mean ECB bond purchases and the EU loans would finance nearly all of Italy's fiscal deficit this year and next ([Figure 1, 4](#)). In fact, judging by our fiscal forecasts, loans from the EU recovery fund that could be in 2022-2025 would continue to cover much of Italy's deficit even if the ECB were to end QE in mid-2022 ([Figure 5](#)).

Figure 2: The ECB used the PEPP's flexibility primarily to support Italy

ECB asset purchases: Capital key divergence

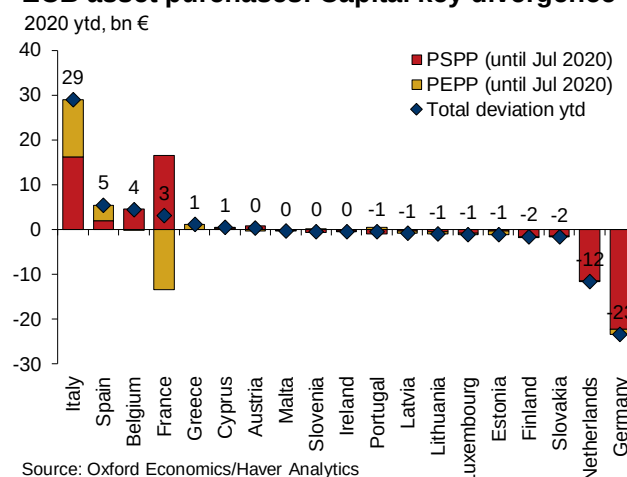


Figure 3: Italian bond spreads have returned to their pre-crisis levels thanks to ECB support

Eurozone: Sovereign yield spreads

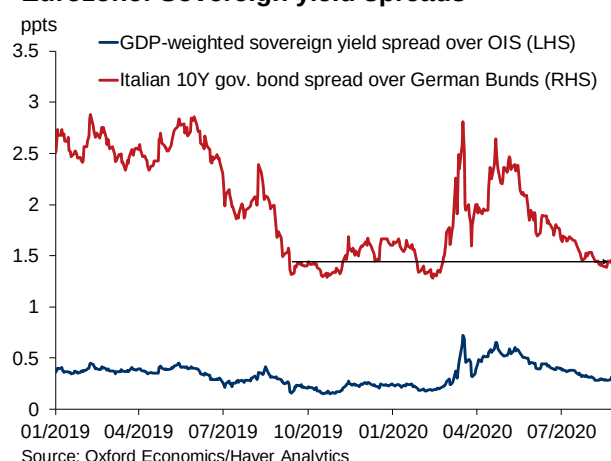
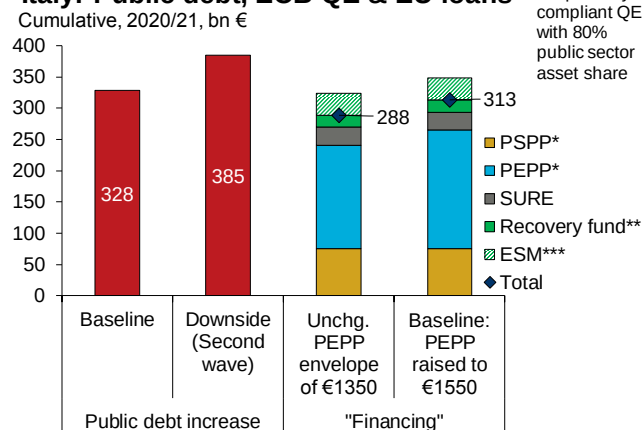


Figure 4: ECB QE and EU loans could effectively cap the rise in freefloat of Italian BTPs

Italy: Public debt, ECB QE & EU loans



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Admittedly, many moving parts are involved. A second wave of infections, an early flattening of the recovery path, or a lacklustre rebound in tourism may delay Italy's return to primary fiscal surpluses, which are required to keep the large public debt pile sustainable. Or a solid recovery could lessen the political willingness to keep providing fiscal support to Italy. But equally, the ECB may opt to continue QE longer than we currently think as inflation languishes below target longer than forecast (**Figure 7**).

On balance, we think the Italian bond market should be well supported until at least the end of 2021. EU loans are set to limit the net issuance of Italian bonds for years to come. In addition, Italy has structurally high domestic savings, a current account surplus, the tail-risk-busting ECB backing, and the perception that the EU recovery fund is a step towards eventual further fiscal integration. All this means we'll modestly reduce our forecast for Italian bond spreads.

EU loans may ease the ECB's legal headaches

Hence, the ECB should be able to substantially reduce or even fully revert the "excess purchases" of Italian debt triggered by the bank's crisis response. More broadly, this should lower the pressure on the ECB to much enlarge the PEPP, although we doubt that [the voices within the council](#) hoping to not even use the full €1350bn envelope will prevail. We still think the ECB will add another €200bn to the envelope, which would suffice to soak up most of eurozone governments' bond issuance this year and next (**Figure 6**).

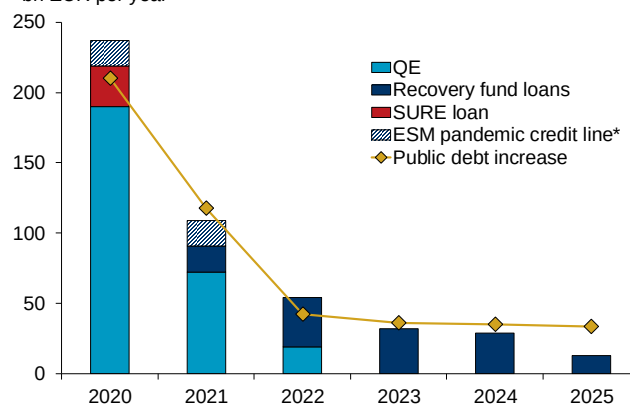
From an economic perspective, the capital key deviation was appropriate and should be uncontroversial. But it risks exposing the PEPP to a legal challenge in Germany [similar to the one against](#) the public sector asset purchase program (PSPP). Given that Germany's constitutional court said adherence to the capital key is one important gauge of the PSPP's appropriateness, that could also apply to the PEPP.

This implies that from a risk-management perspective, a speedy convergence of the ECB's asset purchases towards the capital key is in the ECB's interest. Indeed, the ECB clearly shows an intent to do that, but it's short on specifics. As ECB executive board member Isabel Schnabel said: "The question that we will have to answer in due course is how, and to what extent, we will later converge back towards the capital key." Our analysis suggests that a strong uptake of the EU loans could allow an earlier and fuller convergence than some think.

Figure 5: EU loans will keep a lid on net supply of Italian bonds to market also post-2021

Italy: Public debt, ECB QE & EU loans

bn EUR per year



Source: Oxford Economics/Haver Analytics/EU Commission (*not assumed to be accessed in baseline)

Figure 6: Fiscal deficits and bond issuance will ease, thanks to recovery pointing to slowing QE

Eurozone: Public debt & ECB asset purchases

bn EUR per month

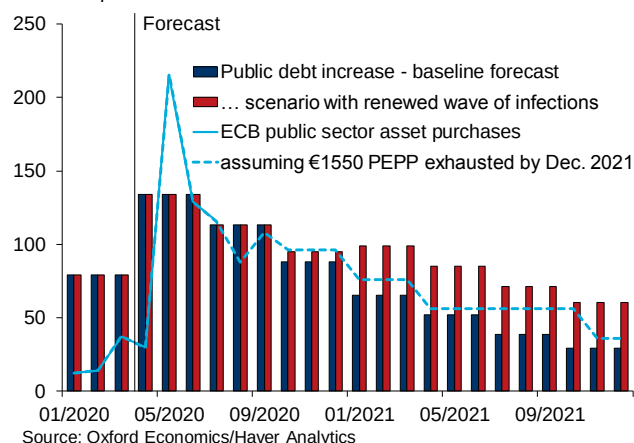
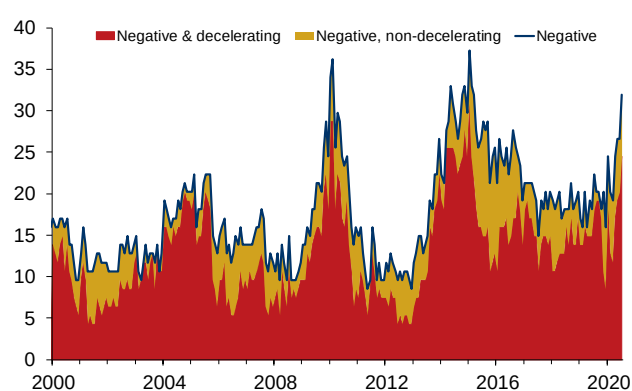


Figure 7: Disinflationary impulse of Covid-19 outweighs inflationary boost so far

Eurozone: Inflation

% of all HICP basket items with inflation rates, that are...



Source: Oxford Economics/Haver Analytics